Tata Consultancy Services Ltd

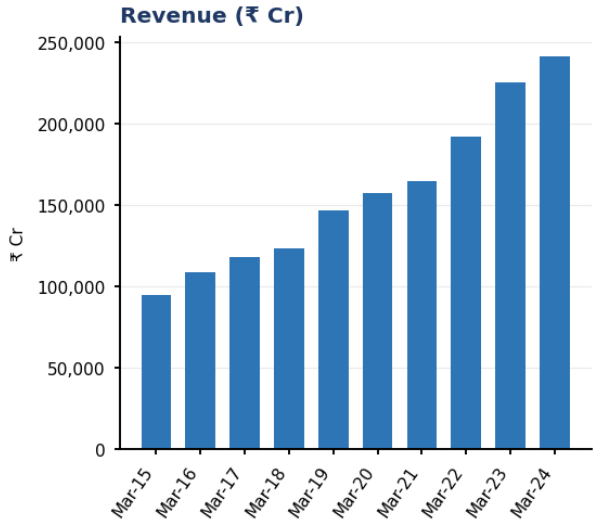
Information Technology | IT Services | Latest FY: Mar-24 | ₹ Crore

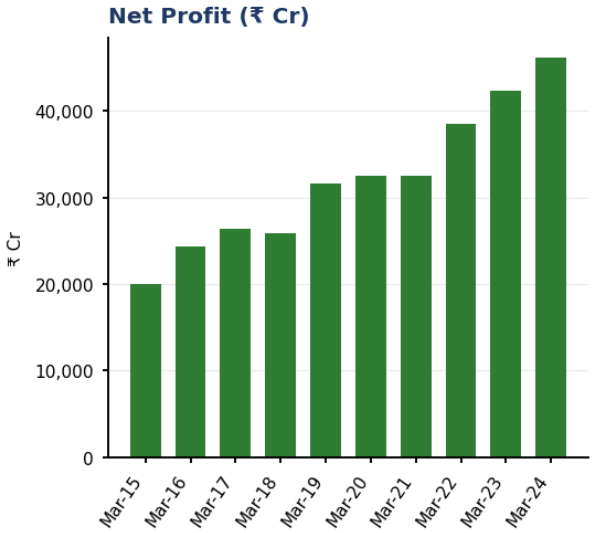
TCS

Key Performance Indicators

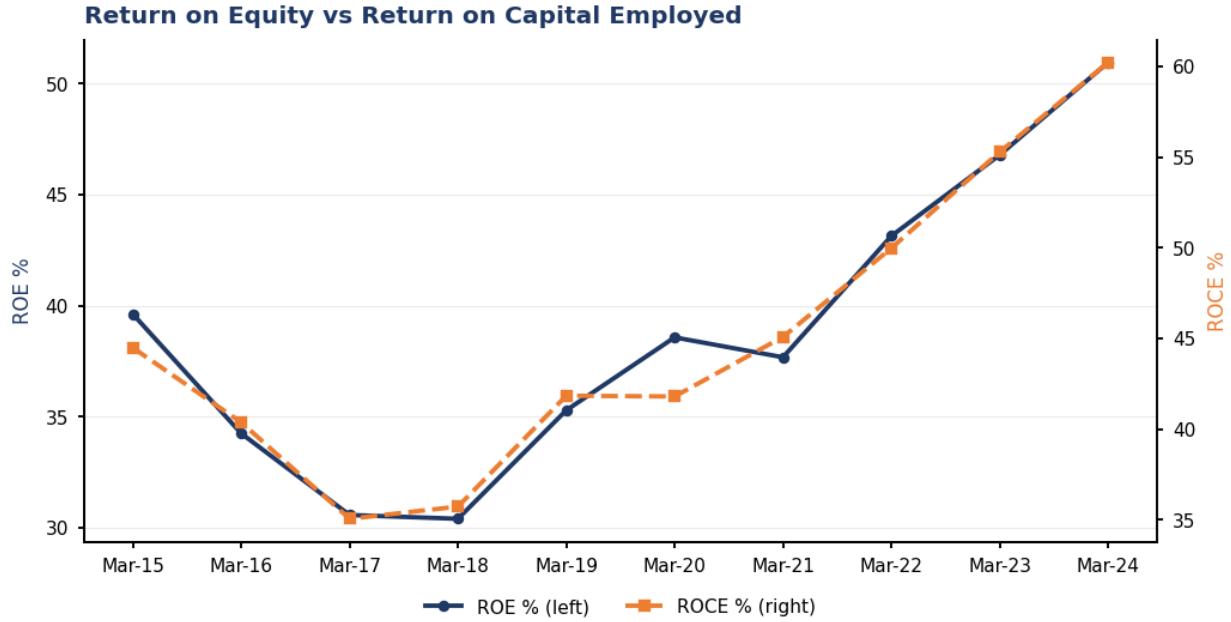
RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
50.9%	**60.2%**	**26.7%**
▲ +4.2 pts vs Mar-23	▲ +4.9 pts vs Mar-23	▲ +0.4 pts vs Mar-23
DEBT / EQUITY	**REVENUE CAGR (5Y)**	**NET PROFIT CAGR (5Y)**
0.09x	**10.5%**	**7.9%**
▲ +0.00x vs Mar-23	compound annual rate	compound annual rate

10-Year Revenue and Net Profit





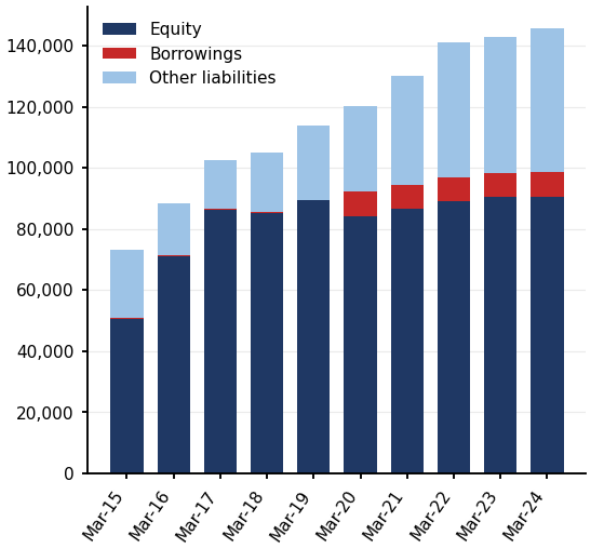
Return on Equity and Return on Capital Employed



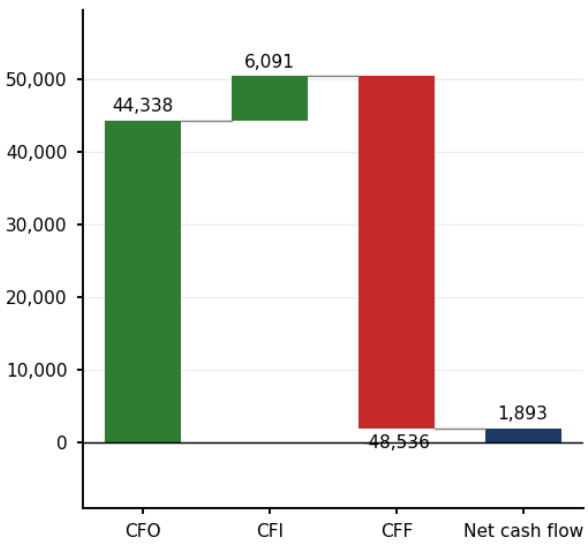
Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow

Balance Sheet Composition (₹ Cr)



Cash Flow Waterfall – Mar-24 (₹ Cr)



Capital Allocation

Shareholder Returns

Pattern history (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Reinvestor → Mar-23: Shareholder Returns → Mar-24: Shareholder Returns

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
1.04x	**2.5%**	**77%**	**10.8%**	**None**
High Quality	Asset Light	FCF / operating profit		

Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (95%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (92%)
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency (88%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (87%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (67%)

Cons

- 5-year revenue CAGR of 10.5% is below the Information Technology sector median of 12.7% (67%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.